

ings of first and second preferred. This netted them individually (*i.e.*, not the company) the sum of about \$20,000,000. They retained control of the business through their ownership of common stock. The charter provided that neither preferred issue should have voting rights unless four quarterly dividends were defaulted on either. In that case both issues, voting together as a single class, would have the right to elect a majority of the directors.

In 1932 dividends were omitted on both classes of preferred. Voting control consequently passed to the holders of these issues early in 1933. Peculiarly enough, the only change made during the 1932–1933 period in the board of directors was the *resignation* of the single member who—as partner of one of the issuing houses—had presumably represented the preferred stockholders. All of the five directors remaining were operating officials and closely identified with the common-stock ownership. In the meantime the price of the two preferred issues declined to 15 and $3\frac{1}{8}$, respectively, as compared with original offering prices of 101 and 50.

Reviewing the situation, we see private owners of a business selling a preferred claim against its profits for a very large sum, which they retained individually. To protect the public's stake in the enterprise, the preferred issues were given voting control in the event of continued non-payment of dividends. This event occurred and with it a catastrophic decline in the value of the shares. But the new voting control was not exercised, and the board of directors remained dominated, even more completely than before, by those owning the common stock.

Wall Street's attitude toward this incident would be that, since the management of the company was honest and capable, a change in the directorate would be unnecessary and even unwise. In our opinion this reasoning misses the basic point. No doubt the *operating management* should remain unchanged; possibly—though by no means certainly—directors representing the preferred stock would follow the same financial policies in matters affecting the senior issues as would be followed by a board identified with the common stock. But the crux of the matter is that these decisions should actually be made by a board of directors of which the majority has been selected by the preferred stockholders in accordance with their rights. Regardless of whether or not a change in the board would result in any change in policy, the directors should be chosen as provided in the articles of incorporation. For otherwise the